



**Before the
CONSUMER FINANCIAL PROTECTION BUREAU
Washington, D.C. 20552**

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

**“Notice of Proposed Rulemaking for the Required Rulemaking on Personal Financial Data
Rights”**

Docket No. CFPB-2023-0052

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On behalf of the Association of National Advertisers (“ANA”), we provide the following comments in response to the Consumer Financial Protection Bureau’s (“CFPB” or “Bureau”) “Notice of Proposed Rulemaking for the Required Rulemaking on Personal Financial Data Rights” (“NPRM”).¹ The CFPB states that the proposed rule seeks to “ensure that third parties act on a consumer’s behalf when collecting, using, or retaining data” and to foster a competitive data access framework.² The NPRM proposes to limit the availability and use of data for valuable advertising purposes and “cross-selling” of entities’ own products and services, even though such practices clearly benefit consumers. As the Bureau considers finalizing a rule on personal financial data rights, the ANA urges the CFPB to recognize the substantial benefits that advertising offers consumers and to take steps to ensure the rule does not curtail or unnecessarily limit these significant consumer benefits.

As America’s oldest and largest advertising trade association, the ANA has long supported the efforts of brands, advertisers, marketing service providers, and countless other entities to provide consumers with access to goods, services, and information they depend on and desire. The mission of the ANA is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA’s membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually.

Our comments first highlight the invaluable role of advertising in the modern American economy to help inform the Bureau about the benefits advertising provides to consumers. Second, we describe the important role of data-driven advertising in the competitive modern data-driven marketplace, as responsible advertising practices enable small businesses and start-ups to access markets and compete in ways that help create the vibrant economy the NPRM states the CFPB supports.³ Finally, we describe existing choices consumers are empowered to exercise over the use of financial information for advertising provided by Congress through the Gramm-Leach-Bliley Act (“GLBA”). We urge the Bureau to recognize the consumer benefits advertising provides and to reconsider the limitations the proposed rule would place on responsible advertising practices.

I. Advertising Provides Direct Benefits to Consumers Through Increased Access to Information and Free or Low-Cost Services

The NPRM proposes to restrict entities’ ability to use covered data for advertising purposes even when a consumer affirmatively authorizes that third party’s receipt of and use of information.⁴ By proposing a rule that would establish new limitations on third parties’

¹ CFPB, *Notice of Proposed Rulemaking for the Required Rulemaking on Personal Financial Data Rights*, 88 Fed. Reg 74796 (Oct. 31, 2023) (hereinafter CFPB NPRM), located [here](#).

² CFPB NPRM at 74799-800.

³ See *id.*

⁴ *Id.* at 74873.

responsible uses of the data the consumer affirmatively authorized such third parties to receive, the NPRM could unintentionally limit the significant benefits to consumers from companies' ability to use data responsibly to advertise. As described in more detail below, the NPRM underestimates the benefits that responsible advertising provides to consumers by promoting equitable and low-cost access to information, products, and services.

In the NPRM, the Bureau incorrectly states that data-driven advertising and cross-selling do not primarily benefit consumers.⁵ To the contrary, advertising and responsible data use directly benefit consumers by helping to significantly lower prices for goods and services and by alerting consumers to their options in the market. One study, for example, found that direct-to-consumer advertising of prescription drugs led to lower prices for consumers.⁶ Similarly, studies across industries, including eyeglasses and legal services, have shown that restrictions on advertising lead to increased prices for consumers.⁷ Advertising restrictions can have adverse effects in the marketplace for consumer products and services, including costs related to consumer financial products and services offered by entities subject to the proposed rule.

The Bureau's proposed restrictions would inhibit entities from engaging in responsible advertising using information collected at the request of the consumer.⁸ The proposed rule would require third parties to limit their use of covered data received at the direction of the consumer to what is "reasonably necessary" to provide the requested product or service.⁹ The CFPB explicitly states that targeted advertising and cross-selling are not reasonably necessary because they "do not primarily benefit consumers in most cases. . . ."¹⁰ This assertion significantly miscalculates the value advertising provides to consumers. In addition, the proposed rule's restrictions would severely impede, if not prohibit, authorized third parties from engaging in responsible advertising of their own services. Preventing a company from marketing its own products to its own customers, using data that the customer requested be provided to that company, would unreasonably limit customers' ability to learn about new relevant products and services from the company they already patronize.

Responsible data-driven advertising also provides significant benefits directly to consumers by facilitating access to free or low-cost products and services. Research shows that data-driven advertising provides the average consumer with a \$30,000 subsidy towards free and low-cost access to information and services online each year.¹¹ Additionally, studies show that advertising benefits consumers by expanding their access to information, with particular benefits to marginalized communities.¹² Data-driven advertising allows companies to deliver relevant information to communities that may not otherwise receive it and, consequently, can help to

⁵ *Id.* at 74833 ("The CFPB has preliminarily determined that when the consumer goes into the market seeking such other products or services—such as a loan, a checking account, or a personal financial management tool—the use of data for [targeted advertising, cross-selling, and data sales] is, as a general matter, not for the primary benefit of the consumer.").

⁶ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data* 22-23 (Nov. 2022), located [here](#) (hereinafter, "Beales & Stivers").

⁷ *Id.*

⁸ CFPB NPRM at 74873.

⁹ *Id.* at 74833, 74873.

¹⁰ *Id.* at 74833.

¹¹ Beales & Stivers at 16.

¹² *Id.* at 24.

reduce demographic disparities by increasing access to information about offerings (including new and innovative financial products and services). The Bureau should review its proposed rule to minimize the negative impacts of overly prescriptive and restrictive mandates regarding responsible data use, including data use for advertising. Doing so would help further the Bureau’s stated goal of promoting and enhancing healthy competition in the economy and providing consumers with more choices and control.

II. Advertising Benefits the Modern American Economy by Driving Competition

The NPRM discusses the importance of improving access to financial data, in part, to encourage competition in the financial services sector.¹³ However, the Bureau simultaneously indicates that the use of data for responsible data-driven advertising and cross-selling does not serve that purpose, saying that such use is not for the “primary benefit of the consumer” when a consumer seeks other products and services.¹⁴ The NPRM discounts the benefit that advertising provides by fostering competition in the marketplace in ways that ultimately inure to consumers’ significant benefit.

The Bureau states the proposed rule will help create a “competitive” data access framework by not “entrenching the roles of incumbent data providers, intermediaries, and third parties,” as their interests may not align with the interests of competition.¹⁵ However, by restricting the use of certain data by certain parties for advertising, the Bureau undercuts its own pro-competition goals. Data-driven advertising is essential for a competitive, vibrant economy as it grants small and mid-sized businesses access to the marketplace, leading to more choices for consumers and less consolidation. In contrast, restrictions on advertising, such as those proposed by the Bureau, would limit new entrants’ access to the market, leading to a less diverse, less competitive marketplace.

Data-driven advertising encourages new and small businesses to enter markets by providing them a cost-effective means to find consumers. Small, start-up, and mid-size businesses in particular rely on and derive significant value from data-driven advertising, and without such tools would struggle to compete with more established companies. One study noted that “small advertisers dominate digital advertising, precisely because online advertising offers the opportunity for low-cost outreach to potential customers.”¹⁶ Unlike their larger or incumbent counterparts, small, mid-size, and new businesses do not have an existing, dedicated base of customers to which they advertise and instead rely on data-driven advertising to effectively identify audiences for their new and niche offerings.

More information in the marketplace means more choices for consumers, as it forces entities to lower prices or offer other differentiators to gain and keep consumer attention.¹⁷

¹³ CFPB NPRM at 74798, 74800.

¹⁴ *Id.* at 74833 (“The CFPB has preliminarily determined that when the consumer goes into the market seeking such other products or services—such as a loan, a checking account, or a personal financial management tool—the use of data for [targeted advertising, cross-selling, and data sales] is, as a general matter, not for the primary benefit of the consumer.”).

¹⁵ *Id.* at 74800.

¹⁶ Beales & Stivers at 9.

¹⁷ *Id.* at 23.

Online advertising amplifies these pro-competitive effects by allowing smaller and newer entrants access to the marketplace in a cost-effective and efficient manner. Promoting competition requires allowing new entrants to the marketplace to responsibly use data, particularly when a consumer has affirmatively authorized the entity to be provided that data. Also, restrictions on advertising can risk stifling innovation by limiting small entrants' ability to promote themselves to consumers who have already demonstrated an interest in the company's products or services. Ultimately, this loss in innovation and diversity in the economy would provide fewer choices and beneficial services from which consumers can derive benefit. The CFPB should consider the ways that its proposed rule would negatively impact healthy competition, and thus detrimentally impact consumers' ability to access a wide variety of innovative and enriching products and services.

III. Federal Law Already Provides Consumers with Choices Related to Advertising in the Marketplace

Congress has already (through GLBA) provided controls relevant to the use of financial data for advertising purposes.¹⁸ Under GLBA, financial institutions are required to provide consumers with information about their data practices, including information about the use of data for marketing and any disclosure of data to third parties for marketing purposes.¹⁹ Notably, under GLBA, consumers are not required to opt in to the sharing of data with third parties for marketing purposes. Rather, the GLBA permits companies to share information with a third party for that third party's marketing purposes subject to an opt-out, and the law does not require any opt-in choice for the financial institution's use of data for marketing its own products and services.²⁰ In contrast, under the proposed rule, even when a consumer affirmatively directs sharing of covered data with a third party, the third party cannot use the information for marketing its own products or services.²¹ The NPRM's prohibition leads to a paradoxical outcome where a third party could use received data for marketing and share that data with third parties for their own marketing purposes when the consumer *does not direct* the data disclosure, but could not do the same when the consumer *does direct* the disclosure of data to the third party. The CFPB should consider updates to the proposed rule to better align it with opt-out requirements under existing law.

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Thank you for the opportunity to submit comments on these important topics. Please do not hesitate to contact us with any questions regarding this submission.

¹⁸ 15 U.S.C. § 6801 *et seq.*

¹⁹ 15 U.S.C. § 6802(b).

²⁰ *Id.*

²¹ CFPB NPRM at 74873.